Sunil Kumar Jain vs Cbi on 26 April, 2023

Author: Jasmeet Singh

Bench: Jasmeet Singh

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* IN THE HIGH COURT OF DELHI AT NEW DELHI
Date of decision:

+ W.P.(CRL) 2069/2021 & CRL.M.A. 16748/2021
SUNIL KUMAR JAIN .....
Through: Mr Shivek Trehan, Adv.

versus

CBI ..... Res
Through: Mr Ripu Daman Bhardwaj, CBI

CORAM:
HON'BLE MR. JUSTICE JASMEET SINGH

: JASMEET SINGH, J (ORAL)

1. This is a petition seeking quashing and setting aside of the impugned condition in the order dated 12.08.2021 passed by learned ACMM-2 cum ACJ in CC No. CBI - 13/20 wherein the learned ACMM-2 cum ACJ while allowing the application moved by the petitioner for cancellation/rescinding the LOC issued by the respondent, has directed the petitioner to seek permission of the Court before undertaking foreign travel.

2. In the present case, the brief facts are that the CBI has registered a case on 29.05.2017 for offences under Sections 420, 467, 468 and 471 read with Sections 120-B IPC and Sections 13(2) and13(1)(d) of the Prevention of Corruption Act, 1988. The allegations are that the petitioner was the M.D. of a company namely IC Textiles Ltd. and had borrowed loan from the complainant Bank. It is alleged that the accused committed criminal breach of trust by selling away the stocks/inventory/machinery which were hypothecated to the Bank without their knowledge. It is alleged that the accused persons had siphoned of 28.73 crores of public money and caused wrongful loss to the bank and correspondingly wrongful gain to themselves. Subsequently, based on the above allegations, an LOC was issued against the petitioner.

3. The learned ACMM-2 cum ACJ after hearing detailed arguments was of the view that the investigation is complete and charge-sheet has been filed. The petitioner was never arrested by the CBI during investigation. The apprehension of the CBI that the petitioner may flee from the country to evade the trial also was found baseless as it seemed to be an apprehension. The ACMM-2 cum ACJ held that the accused has been residing in Delhi for last 27 years having deep roots in the

society. Hence, the LOC issued against the petitioner was found to be wrongly issued and the same was rescinded. However, while passing the order, the learned ACMM-2 cum ACJ imposed the condition that the petitioner shall not leave the country without permission of the Court. It is this last finding which has been challenged by the petitioner.

4. Mr Ripu Daman Bhardwaj, learned SPP for the respondent/CBI has placed reliance on para 5 of the reply which reads as under:

"5. That the Ld. Trial Coui1 made an observation in its above mentioned order dated 12.08.2021 that "in order to ensure the presence of the accused during the trial, conditions may be imposed". It is imperative to mention here that the applicant is an accused of an offence related to Economic fraud involving public money to the tune of Rs. 28.73 Crores. The applicant submitted false & fabricated stock statement to the Canara Bank to avail higher level of credit. The applicant came in to an agreement for sale of Banks Mortgaged property with Mr Neeraj Saluja of M/s SEL Textiles Ltd. without obtaining the consent from the Board of Members of the company M/s I.C. Textiles Ltd. and without informing the creditors Banks. The applicant dishonestly opened the account with HDFC, Kailash Building Branch on the basis of false & fabricated company's resolution dt 12.05.2000 and got realized the sales proceeds in this account for cheating Canara Bank and siphoned off public money, which ultimately resulted in wrongful gain to M/s I C Textiles Ltd and wrongful loss to Canara Bank."

5. Mr Bhardwaj, learned SPP states that the petitioner has sold properties which were mortgaged to the bank and has misappropriated Rs. 28.73 crores of public money. Hence, he argues that the condition has been rightly imposed by the learned ACMM-2 cum ACJ.

6. I have heard learned counsel for the parties.

7. In a similar case, a Coordinate Bench of this Court in case titled „Nandini Bhatnagar v. State Govt. of NCT of Delhi' in CRL.M.C. 4231/2012, decided on 14.12.2012 in para 10 observed as under:

> "10. Undoubtedly, the accused's right to travel can be curtailed by a reasonable, transparent and fair procedure, but in the opinion of this Court such a restriction should be rarely imposed by the trial court while granting bail and that too, for cogent reasons."

8. A bare perusal of the impugned order shows that there is no opinion expressed by the learned ACMM-2 cum ACJ as to why the restriction of taking prior permission should be imposed. The fact that the applicant is an accused, charge-sheet has been filed and there are allegations of siphoning off Rs. 28.73 crores according to me are not reasons enough to impose restrictions on travel which is a fundamental right guaranteed under Artile 21 of the Constitution of India. In Maneka Gandhi v. Union of India, (1978) 1 SCC 248 the Hon ble Supreme Court has held as under:

> "29. ..... If this be the correct test, as we apprehend it is, the right to go abroad cannot in all circumstances be regarded as included in freedom of speech and expression. Mr

> Justice Douglas said in Kent v. Dulles that "Freedom of movement across frontiers in either direction, and inside frontiers as well, was a part of our heritage. Travel abroad, like travel within the country, may be necessary for livelihood. It may be as close to the heart of the individual as the choice of what he eats, or wears, or reads. Freedom of movement is basic in our scheme of values." And what the learned Judge said in regard to freedom of movement in his country holds good in our country as well. Freedom of movement has been a part of our ancient tradition which always upheld the dignity of man and saw in him the embodiment of the Divine. The Vedic seers knew no limitations either in the locomotion of the human body or in the flight of the soul to higher planes of consciousness. Even in the post-Upanishadic period, followed by the Buddistic era and the early centuries after Christ, the people of this country went to foreign lands in pursuit of trade and business or in search of knowledge or with a view to shedding on others the light of knowledge imparted to them by their ancient sages and seers. India expanded outside her borders : her ships crossed the ocean and the fine superfluity of her wealth brimmed over to the east as well as to the west. Her cultural messengers and envoys spread her arts and epics in South-East Asia and her religions conquered China and Japan and other far Eastern countries and spread westward as far as Palestine and Alexandria. Even at the end of the last and the beginning of the present century, our people sailed across the seas to settle down in the African countries. Freedom of movement at home and abroad is a part of our heritage and, as already pointed out, it is a highly cherished right essential to the growth and development of the human personality and its importance cannot be over-emphasised. …."

9. Mr Bhardwaj, learned SPP states that at least the petitioner should inform the IO regarding his date of travel, place of travel and on his arrival to India. According to me, these conditions also impose fetters on the petitioner s right to travel which is an absolute right. The petitioner is still facing trial and there is a presumption of innocence in his favour. The LOC which was imposed by the respondent has already been rescinded by the learned ACMM. For the said reasons, the condition imposed in the order dated 12.08.2021 passed by learned ACMM-2 cum ACJ in CC No. CBI - 13/20 of "not leaving the country without permission of the Court" cannot be sustained and is hereby quashed.

10. The petition is disposed of accordingly.

JASMEET SINGH, J APRIL 26, 2023/sr Click here to check corrigendum, if any